

Interconnection of Large Loads to the Interstate) Docket No. RM26-4-000
Transmission System)
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Pursuant to the Notice Inviting Comments issued by the Federal Energy Regulatory Commission (“FERC” or “Commission”) on October 27, 2025,¹ ITC Holdings Corp. (“ITC”) submits the following supplemental comments. ITC supports the Commission’s efforts to evaluate and identify potential reforms to ensure large loads can interconnect quickly and reliably while avoiding cost shifts to existing customers.² This goal is echoed in the White House’s Ratepayer Protection Pledge, which reflects the broader national emphasis on advancing data center development while protecting existing ratepayers from adverse impacts.³ In our view, current regulatory frameworks, including large loads’ obligations to pay for the ongoing development, maintenance, and operation of the overall transmission system through network transmission service charges, accomplish these goals when paired with proactive transmission planning, the knowledge of local Transmission Owners, and other policies that promote optimal long-term solutions over quick or narrowly focused fixes.

As FERC continues to examine the record in this proceeding, ITC would like to highlight the real-world impacts of data center development in our Iowa footprint, where the addition of

² See *Comments of ITC* previously submitted in this proceeding on November 21, 2025.

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large loads is projected to progressively reduce transmission rates for customers by expanding the load base over which fixed network costs are recovered. At ITC Midwest,⁴ thoughtful investments we have made over roughly two decades have positioned new load growth to reduce, rather than exacerbate, cost pressures on existing customers. ITC Midwest's experience demonstrates the potential rate benefits that data centers and other large loads can bring to existing ratepayers, while also showcasing how proactive investment in the grid has provided and continues to provide economic benefits in the company's footprint.

I. ITC Midwest's Large Load Success Story

Due largely to massive data center construction commitments in Iowa,⁵ ITC Midwest currently projects a significant decrease in the network transmission rate charged to our customers. Based on current data and projections, **by the end of the decade, the network transmission rate for ITC Midwest's customers is anticipated to decrease by approximately 20% from the 2026 projected rate.** This is a result of the fact that transmission rates are largely driven by fixed network costs. Under current circumstances, the addition of substantial data center load can reduce rates over time by expanding the load base over which those fixed costs are recovered. But a key precondition to capturing these benefits is for large loads to be assigned network transmission service charges. Without including large loads in the network

⁴ ITC Midwest LLC is a wholly owned subsidiary of ITC. In addition to its significant footprint in Iowa, ITC Midwest operates in Minnesota, Illinois, Missouri, and Wisconsin.

⁵ See, e.g., QTS Data Centers, *QTS Announces New, World-Class Data Center Campus in Cedar Rapids*, available at <https://q.com/news/qts-announces-new-world-class-data-center-campus-in-cedar-rapids/> (Published August 8, 2025); Google, *How Google is driving a new era of American innovation in Iowa*, available at <https://blog.google/feed/new-7-billion-investment-iowa/> (Published May 30, 2025).

transmission service charge calculation, customers would bear severe cost shifts and not reap the associated rate benefits these loads provide for all customers.⁶

In addition to the downward pressure on rates, large-load development can drive broader local economic benefits. Ongoing data center developments in Cedar Rapids, Iowa represent some of the largest construction projects in the region's history, with individual projects driving billions of dollars of local investment.⁷ This is already producing dramatic local economic activity, most directly through thousands of construction jobs, many of which go to local construction companies.⁸ Increased demand for lodging, restaurants, general retail, services like automotive repair,⁹ and interest in other local attractions naturally and inevitably follows. These are significant impacts that will provide real, if indirect, relief to ratepayers in Iowa by bolstering their local economies. The enormous load growth that the city of Cedar Rapids and state of Iowa have been able to attract makes this possible.

II. How ITC Midwest Positioned Itself to Find Rate Relief through Significant Load Growth

Iowa's ability to attract the large load development from which its residents are now benefiting is closely tied to the strength and readiness of the transmission system in the state. ITC Midwest has invested more than \$5.8 billion to upgrade the grid for reliable and rapid power

⁶ See *Supplemental Comments of WIRES*, Docket No. RM26-4-000 (filed March 30, 2026) and Concentric Energy Advisors, *The Risks of Cost Shifts in Serving Large Loads Under a Framework with Direct Allocation of Transmission Costs* (March 30, 2026).

⁷ See *Scope of QTS data project in Cedar Rapids continuing to grow*, available at <https://corridorbusiness.com/scope-of-qts-data-project-in-cedar-rapids-continuing-to-grow/> (Published December 2, 2025).

⁸ See, e.g., *Data center construction reshapes Cedar Rapids housing market*, available at https://www.thegazette.com/news/local/data-center-construction-reshapes-cedar-rapids-housing-market/article_70c55cde-49ad-408e-82d1-7e92b7bedabe.html (Published March 8, 2026).

⁹ *Id.*

delivery. This is crucial to data centers and other large loads when evaluating prospective development sites.¹⁰

The robustness of Iowa’s transmission grid is particularly notable given where the system started. ITC Midwest acquired the transmission system from Alliant Energy in 2007 to help remedy the reliability and congestion challenges the system was faced with. In the intervening years, significant capital and operational commitments were necessary to remedy these conditions, resulting in a 77% reduction in outages (through 2025) and industry-leading reliability performance. Importantly, ITC Midwest’s status as an independent, transmission-only utility, working in partnership with Alliant Energy, played a key role in allowing for the prioritization of these investments and ensured capital was allocated to upgrading the transmission system.

These investments continue to deliver significant benefits to ITC Midwest’s customers. However, they were made during a period of flat load growth on a system serving a largely rural, low-load pricing zone. As a result, the costs of long-overdue infrastructure upgrades were recovered over fewer billing determinants, causing ITC Midwest’s rates to rise. Therefore, ITC Midwest’s zonal Network Integration Transmission Service rate reflects both a rate base “catch up” effect after prolonged underinvestment and the mathematical reality of rate pressure from serving a geographically large transmission footprint relative to load. To put this into perspective, ITC Midwest serves roughly 2/3 of the state geographically but only about 1/3 of the population, resulting in more transmission assets being spread across fewer customers than other major utilities.

¹⁰ See, e.g., ICF, *How to find the ‘sweet spots’ to build all those data centers*, available at <https://www.icf.com/insights/energy/data-center-siting> (2025) (“While all variables in the data center siting framework matter, energy typically carries the most weight.”).

Today this dynamic is changing as the future that ITC Midwest envisioned is finally arriving. The same investments that improved system performance and expanded capability have helped create conditions that allow large loads to interconnect with relative ease compared to other suitable data center locations. Iowa's grid improvements helped make the state an attractive destination for large-load investment, and that new load growth is now positioned to deliver measurable rate benefits to existing customers over time. Importantly, these large loads benefit from the historical investments ITC Midwest customers have paid for over the years. Thus, it is imperative new large load customers pay their fair share through network transmission service charges. This way, everyone wins.

ITC Midwest's forward-looking, proactive approach to grid development, reinforced through MISO's Long-Range Transmission Planning ("LRTP") portfolios, has enabled faster large-load interconnections by providing available regional capacity and reducing the scope and cost of network upgrades, benefiting both new customers and existing ratepayers. A key factor in accommodating the data center growth in Iowa was ITC Midwest's ability to start developing the LRTP projects right after MISO Board approval due to the segments not being eligible for Order No. 1000 competition. If the projects had been subject to the solicitation process, it would have added almost two years of delay before determining who was responsible for construction, irreparably undermining the in-service timeline requirements.

ITC Midwest was able to set project schedules on two LRTP Tranche 1 projects to meet local needs, while also designing a local project to share poles and construction costs with a direct-assigned Tranche 1 project. This experience, along with the truly resilient system we have built in Iowa over nearly two decades, is why we believe the enormous new loads already in the pipeline are just the beginning. As LRTP projects come online, we are optimistic Iowa will be

positioned to accommodate additional data center investment and other future load growth, improving reliability and increasing rate benefits for customers over time.

III. CONCLUSION

ITC will continue to work diligently to prepare its grid for the demands of the future, including meeting the nation's shared goal of rapidly integrating large loads and generation resources in a cost-effective manner. We believe ITC Midwest's experience provides a strong example of how this goal can be accomplished in a manner that protects existing ratepayers when paired with policies that encourage implementing optimal long-term transmission solutions.

Respectfully submitted,

/s/ Kyle Hall Henne

Kyle Hall Henne

Senior Counsel - Regulatory & Legislative

ITC Holdings Corp.

601 13th Street NW

Suite 910S

Washington, D.C. 20006

Ph: (202) 602-2870

khenne@itctransco.com